Dolph Research

EQUITY RESEARCH NOTE March 10, 2026

MICROSOFT CORPORATION

Revenue	Net Income
$282B	$102B
14.9%	15.5%

Operating Margin	Free Cash Flow
45.6%	$71.6B
2.2%	-3.3%

Executive Summary

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

MSFT generated $282B in revenue (14.9% YoY) and $102B in net income (15.5% YoY) for 2025-06-30. The period closed with an operating margin of 45.6% and a net margin of 36.1%. Revenue and earnings both expanded at a double-digit pace, consistent with improving operating leverage or favorable demand conditions.
Debt-to-equity of 0.13x and a current ratio of 1.35x reflect a moderate capital structure without extreme positioning in either direction. The quick ratio of 1.35x confirms liquidity depth after excluding inventory from the coverage calculation.

Operating cash flow of $136B (14.9% YoY) converted to $71.6B in free cash flow (-3.3% YoY). Capital expenditures totaled $64.6B (22.9% of revenue). Cash generation exceeded reported earnings, indicating strong accrual-to-cash conversion.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$282B	$245B	14.9%
Net Income	$102B	$88.1B	15.5%
Operating Margin	45.6%	44.6%	2.2%
Debt-to-Equity	0.13x	0.18x	-23.6%
Current Ratio	1.35x	1.27x	6.2%
Free Cash Flow	$71.6B	$74.1B	-3.3%

Revenue
$282B

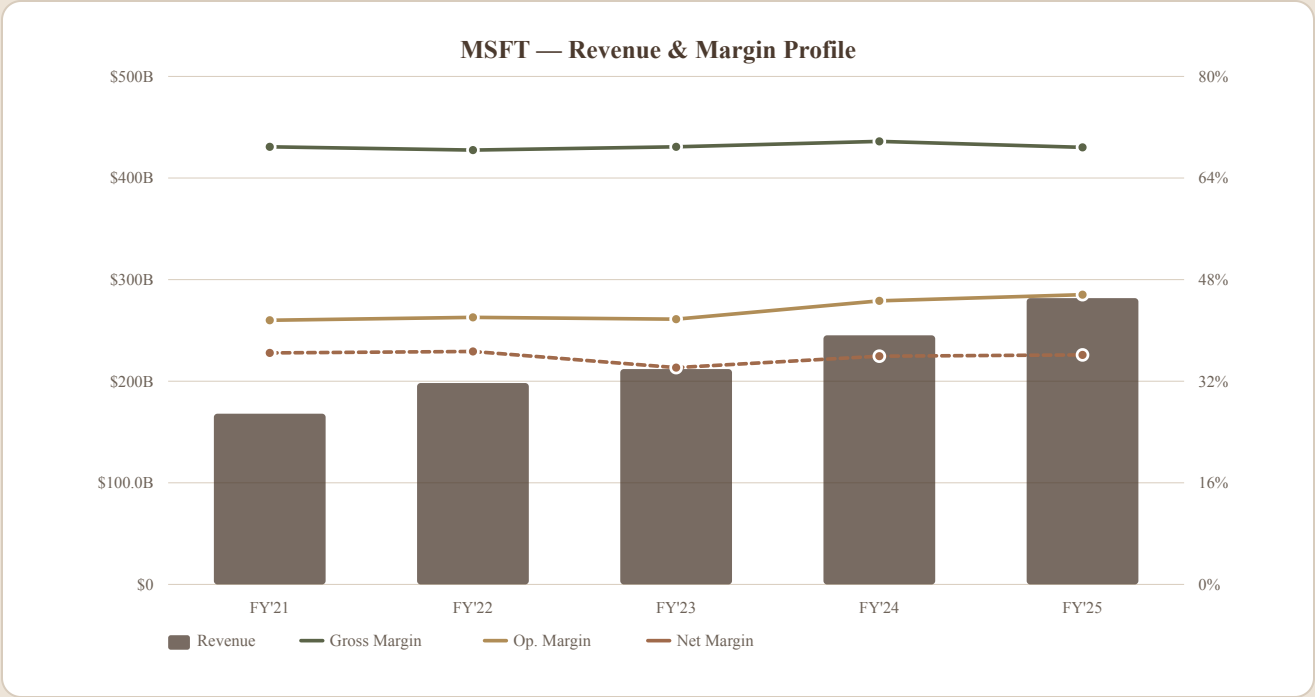
Net Income
$102B

Operating Margin
45.6%

Free Cash Flow
$71.6B

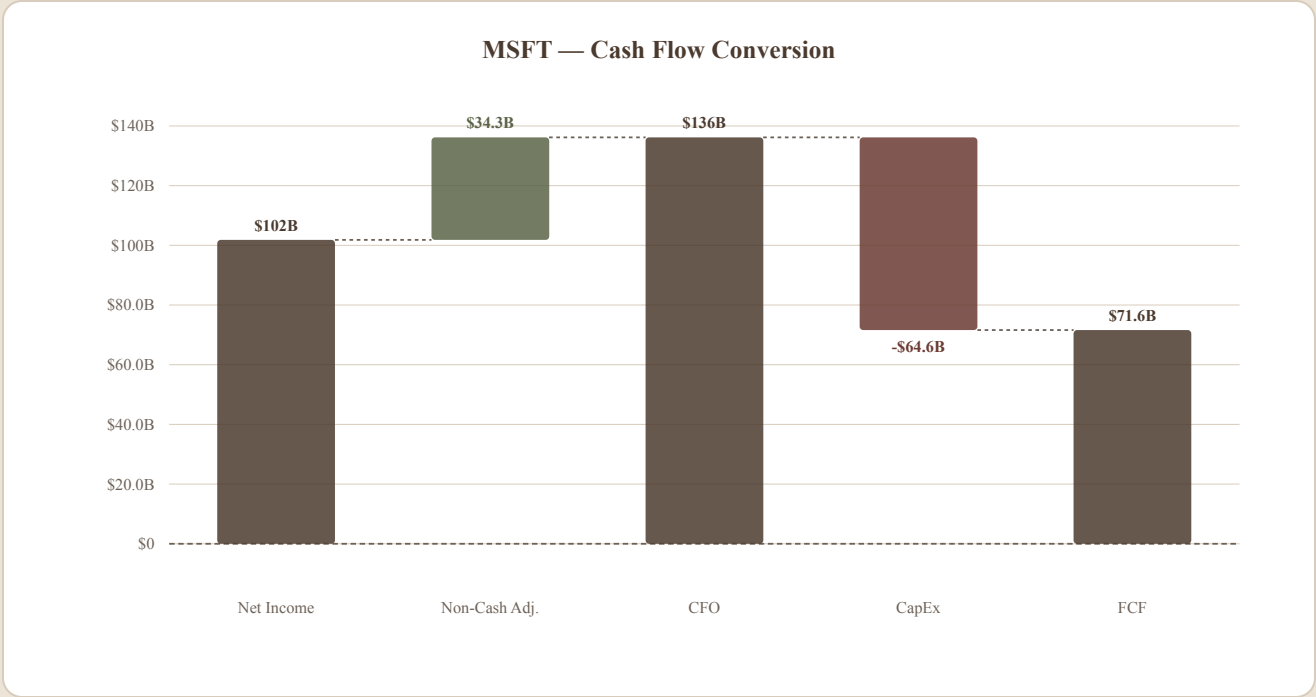
Visual Highlights

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$194B	$171B	13.4%
Return on Equity	33.3%	37.1%	-10.4%
Return on Assets	18.0%	19.1%	-5.6%
Gross Margin	68.8%	69.8%	-1.3%
Operating Margin	45.6%	44.6%	2.2%
Net Margin	36.1%	36.0%	0.5%
Earnings Per Share (Diluted)	$13.64	$11.80	15.6%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$191B	$160B	19.7%
Current Liabilities	$141B	$125B	12.7%
Cash & Equivalents	$30.2B	$18.3B	65.1%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	$94.6B	$75.5B	25.2%
Short-Term Investments	$64.3B	$57.2B	12.4%

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Not reported	Not reported	Not reported
Long-Term Debt	$43.2B	$44.9B	-4.0%
Short-Term Debt	$3.00B	$2.25B	33.3%
Total Debt	$46.1B	$47.2B	-2.2%
Current Ratio	1.35x	1.27x	6.2%
Debt-to-Equity	0.13x	0.18x	-23.6%

Key Metrics Dashboard (Cont.)

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$282B	$245B	14.9%
Gross Profit	$194B	$171B	13.4%
Operating Income	$129B	$109B	17.4%
Net Income	$102B	$88.1B	15.5%
Total Assets	$619B	$512B	20.9%
Total Liabilities	$276B	$244B	13.1%
Stockholders' Equity	$343B	$268B	27.9%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$136B	$119B	14.9%
Cash at End of Period (cash-flow statement)	$30.2B	$18.3B	65.1%
Capital Expenditures	-$64.6B	-$44.5B	45.1%
Free Cash Flow	$71.6B	$74.1B	-3.3%

Commentary

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

What stands out

Operating Cash Flow stands at $136B (13.1% CAGR). The multi-year progression is steady enough to suggest an improving operating profile.

free_cash_flow stands at $71.6B (9.5% CAGR). The multi-year progression is steady enough to suggest an improving operating profile.

Watch items

No major quantitative red flags are active in the locked annual snapshot, although margin durability and cash conversion still warrant routine monitoring.

Analyst interpretation

Gross margin of 68.8% supports healthy unit economics and room for operating-expense absorption.

ROE of 33.3% is well above the 15% institutional threshold, suggesting strong capital allocation.

Appendix

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Appendix A — MSFT Income Statement

Metric	FY2025 (Jun)	FY2024 (Jun)
Revenue	$282B	$245B
Cost of Revenue	$87.8B	$74.1B
Gross Profit	$194B	$171B
Operating Expenses	$65.4B	$61.6B
Operating Income	$129B	$109B
Net Income	$102B	$88.1B
EPS (Basic)	$13.70	$11.86
EPS (Diluted)	$13.64	$11.80
Weighted Avg Shares (Diluted)	7.5B	7.5B
R&D Expenses	$32.5B	$29.5B
Pretax Income	$124B	$108B
Income Tax Expense	$21.8B	$19.7B

Appendix B — MSFT Balance Sheet (Part 1/2)

Metric	FY2025 (Jun)	FY2024 (Jun)
Shares Outstanding	7.4B	7.4B
Total Assets	$619B	$512B
Total Liabilities	$276B	$244B
Total Stockholders' Equity	$343B	$268B
Current Assets	$191B	$160B
Current Liabilities	$141B	$125B
Cash & Equivalents	$30.2B	$18.3B
Cash, Cash Equivalents & Short-Term Investments	$94.6B	$75.5B
Total Debt (derived)	$46.1B	$47.2B
Long-Term Debt	$43.2B	$44.9B

Appendix (Cont.)

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Appendix B — MSFT Balance Sheet (Part 2/2)

Metric	FY2025 (Jun)	FY2024 (Jun)
Short-Term Debt	$3.00B	$2.25B
Inventory	$938M	$1.25B
Accounts Receivable	$69.9B	$56.9B
Short-Term Investments	$64.3B	$57.2B
Other Current Assets	$25.7B	$26.0B
Accounts Payable	$27.7B	$22.0B
Other Current Liabilities	$25.0B	$19.2B
Retained Earnings	$238B	$173B
AOCI	-$3.35B	-$5.59B
Goodwill	$120B	$119B

Appendix C — MSFT Cash Flow Statement

Metric	FY2025 (Jun)	FY2024 (Jun)
Operating Cash Flow	$136B	$119B
Capital Expenditures	-$64.6B	-$44.5B
Investing Cash Flow	-$72.6B	-$97.0B
Financing Cash Flow	-$51.7B	-$37.8B
Dividends Paid	-$24.1B	-$21.8B
Share Repurchases	-$18.4B	-$17.3B
Depreciation	$22.0B	$15.2B
Amortization of Intangibles	$6.00B	$4.80B
Net Change in Cash	$11.9B	-$16.4B
Cash at End of Period (cash-flow statement)	$30.2B	$18.3B

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
MSFT	0000789019	0000950170-25-100235	10-K	2025-07-30	https://www.sec.gov/Archives/edgar/data/789019/000095017025100235/msft-20250630.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.